

In addition, portfolio failure rates do not account for other income generating assets you might have available. Cutting spending from a portfolio may not be disastrous if you already receive plenty of income from other sources such as Social Security, pensions, and annuities. The bottom line should be how potential spending reductions from a portfolio will impact the overall lifestyle of the retiree, with all nonportfolio sources of income taken into consideration. Failure—defined strictly as investment portfolio depletion—is not the whole story.

The failure rate is an extreme outcome measure that only considers financial wealth depletion. Retiree spending potential is irrelevant. Retirees must find an appropriate personal balance between spending more and making potentially larger subsequent cutbacks in the event of a long life and poor market returns. By focusing only on the failure rate, retirees could end up leaving behind an unintentionally large legacy and not enjoying retirement as much as possible.

The PAY Rule™

As an alternative to failure rates, I suggest calibrating the downside risk across strategies in order to match them for a level of risk the retiree is comfortable taking. This calibration is done with a customized PAY Rule that I first outlined in my article “Making Sense out of Variable Strategies for Retirees” from the October 2015 issue of the *Journal of Financial Planning* (in that article it went by the name “XYZ formula”).

The original PAY Rule as stated in that article was as follows: Retiree Accepts an **X%** Probability that *spending* falls below a threshold Amount of **\$Y** (in inflation-adjusted terms) by Year **Z** of retirement. Where a failure rate might simply say retirees accept a 10 percent chance of failure within the first thirty years of retirement, a PAY Rule would instead say that retirees accept a 10 percent chance that their spending level will fall below an inflation-adjusted \$60,000 by the thirtieth year of retirement. This can incorporate Social Security and other income sources as well, and it provides a way to compare strategies while otherwise dealing with the reality that higher initial spending rates can be justified if spending is subsequently allowed to drop more steeply. The formula provides a controlled anchor for those spending drops. When it is combined with consistent market assumptions and a view of the entire distribution of outcomes, we can compare different variable strategies on an equal footing.